Grade 9 Investment Analysis

Chapter 1: What Is Investment Analysis, and What Is a Share?

Student companion textbook | Unit 1 Lesson 1 | Investment, speculation and shares

A first chapter for defining investment analysis, assets, shares, risk, return and share price before later calculations.

Chapter 1: What Is Investment Analysis, and What Is a Share?

Learning Goals

By the end of this chapter, you should be able to:

- distinguish between investment and speculation
- define investment analysis
- define asset and share
- explain risk and return
- explain what a share price is

This course teaches investment analysis. It does not teach short-term stock tips, market timing or personal buy/sell advice. The first lesson builds the vocabulary needed before we calculate anything.

1.1 What Is Investment?

An investment is putting money into an asset in the hope of earning a return in the future.

Three parts of this definition matter:

Part	Meaning	Why it matters
money	something of value is committed	an investor gives up the ability to use that money now
asset	something owned that may have value	the investment must be connected to something that can be studied
future return	a possible gain later	return is possible, not guaranteed

Investment is not just "buying something". It involves a reasoned expectation that an asset may create value or income in the future. That expectation needs evidence.

1.2 Investment or Speculation?

Speculation means betting mainly on a short-term price movement without enough evidence about value, risk and return.

Investment and speculation can both involve buying shares, but the thinking is different.

Question	Investment analysis	Short-term speculation
Main focus	evidence about possible return, risk and price	quick price movement
Time idea	future value or income after study	near-term rise or fall
Evidence	source-dated information, company facts, price, risk	tip, trend, rumour or excitement
Careful sentence	"What evidence supports this possible return, and what risk could make it worse?"	"I think this will jump soon."

A sentence such as "Tencent is famous, so the share must be a good investment" is weak. It uses familiarity instead of evidence.

A stronger sentence is:

Tencent is a familiar company, but investment analysis needs evidence about possible return, risk and the current share price before judgement.

This stronger sentence is still not a final investment decision. It is a better starting point because it asks for evidence.

1.3 Key Term: Investment Analysis

Investment analysis means using evidence to study possible return, risk and price before making a judgement.

Useful evidence can include:

- a source title and date
- a company name and listed share
- a share-price graph
- financial figures
- a risk note
- a calculation
- a comparison with another company or asset

Evidence does not automatically prove that an investment is good. It gives an analyst something more reliable to think with.

Investment analysis is also not personal investment advice. Advice depends on one person's money, age, goals, risk tolerance and situation. This classroom course teaches careful reasoning, not what one person should buy, sell or hold.

1.4 Key Term: Asset

An asset is something owned that may have value.

Examples of assets include cash, a building, a machine, a bond, a fund and a share.

Two words in the definition are important:

- Owned: someone has a claim to it.
- May have value: the value can change and is not guaranteed.

An asset can be useful, valuable or income-producing. It can also lose value. That is why analysis must include risk.

1.5 Key Term: Share

A share is one unit of ownership in a company.

Owning one share does not usually mean:

- owning the whole company
- controlling the company
- owning the company's products
- receiving guaranteed profit

It means owning one unit of ownership. The details of shareholder rights and control come later in the course.

Tencent the company is not the same as one Tencent share. The company has employees, products, customers, managers, brands, software, costs and risks. A listed share is one ownership unit that can be bought and sold in a market.

1.6 Possible Return and Risk

Possible return is the gain an investor hopes to earn from an investment.

For shares, possible return can come from:

- a higher selling price in the future
- dividends, if the company pays them

Possible return is not guaranteed. The word possible is important.

Risk is the possibility that results, returns or prices are worse than expected.

Risk does not mean something bad will definitely happen. It means the future is uncertain and the result may disappoint.

An investment sentence is weak if it talks about return but ignores risk.

Weak:

> **The price might rise, so it is a good investment.**

Stronger:

> **The possible return must be judged with risk, because the price could also fall or the company's results could be worse than expected.**

1.7 Key Term: Share Price

A share price is the market price of one share at a specific time.

Read this definition carefully:

- one share, not the whole company
- market price, not profit or revenue
- specific time, not a permanent value

When we look at the Tencent share-price graph in class, each point on the line shows the price of one Tencent share at one date in the source. The graph can show movement, but it cannot prove by itself whether the share is a good investment.

Useful first questions include:

- What movement do I notice?
- What date or period does the source show?
- What information might explain one change?
- What risk could make a hoped-for return worse than expected?

1.8 Put the Five Ideas Together

The first lesson is a vocabulary foundation. The five ideas connect like this:

1. Investment means putting money into an asset hoping for future return.
2. Speculation focuses mainly on short-term price movement without enough evidence.
3. Investment analysis uses evidence to study possible return, risk and price before judgement.
4. A share is one ownership unit in a company and is one type of asset.
5. A share price is the market price of one share at one specific time.

These ideas prepare us for later lessons on stock exchanges, quote pages, ownership, financial statements, valuation and risk.

Practice 1: Investment or Speculation?

Classify each statement as investment analysis or speculation. Then improve one weak statement.

Statement	Investment analysis or speculation?
"I need evidence about possible return, risk and price before judging."	
"My friend says this share will rise tomorrow."	

Statement	Investment analysis or speculation?
"The company is famous, so it must be safe."	
"The graph moved up, but I need to know what information explains the change."	

Improved sentence starter:

This statement is weak because ________. A stronger analyst would ask ________.

Practice 2: Complete the Definitions

Fill in each blank.

1. Investment analysis uses ________ to study possible return, risk and price before judgement.
2. An asset is something owned that may have ________.
3. A share is one unit of ________ in a company.
4. Possible return is the gain an investor ________ to earn.
5. Risk is the possibility that results, returns or prices are worse than ________.
6. A share price is the market price of one ________ at a specific time.

Practice 3: Asset, Share or Share Price?

Complete the table.

Item	Asset, share or share price?	Reason
one ownership unit in Tencent		
the market price of one Tencent share at one date		
cash owned by a person		
a building owned by a company		

Practice 4: Risk and Return

Explain why each sentence is incomplete.

Incomplete sentence	What is missing?
"The price might rise, so this is definitely good."	
"Tencent is famous, so there is no risk."	
"The latest share price proves the whole company is valuable."	

Use this sentence frame:

Possible return must be judged with risk because ________.

Practice 5: Share Price Check

Use the Tencent share-price graph from the lesson.

1. What does each point on the line measure?
2. Does one share price tell us the total value of the whole company?
3. What information might explain one movement in the graph?
4. Why is a share-price graph evidence, but not a complete judgement?

Chapter Review

Key ideas to remember:

- Investment is different from speculation.
- Investment analysis uses evidence before judgement.
- An asset is something owned that may have value.
- A share is one ownership unit in a company.
- Possible return is hoped for, not guaranteed.
- Risk means results, returns or prices may be worse than expected.
- A share price is the market price of one share at one specific time.
- One share price or one graph cannot prove a complete investment judgement by itself.

Exit Ticket

Write one careful analyst sentence about Tencent.

Your sentence must include:

- investment analysis
- evidence
- possible return
- risk
- share price

Sentence starter:

Tencent is familiar, but investment analysis needs ________ before ________.

Source Note

Classroom sources for this chapter include the frozen Tencent share-price graph used in Lesson 1 and source-dated course materials prepared for educational use. This chapter does not provide personal investment recommendations.